

## **In Canada**

Canada provides tax-advantaged retirement accounts for individuals, including options for those who are self-employed. They include the Canadian Registered Retirement Savings Plan (RRSP, similar to the U.S. traditional IRA), Tax-Free Savings Account (TFSA), and pension plans.<sup>1</sup>

Here's a brief overview of the Registered Retirement Savings Plan (RRSP) and the Tax-Free Savings Account (TFSA):

### **The Registered Retirement Savings Plan (RRSP)**

- The Registered Retirement Savings Plan (RRSP) is a savings plan that is similar to a traditional IRA in the sense that it is not associated with being an employee of a company or public organization (government or nonprofit).
- Anyone can open up an RRSP at a registered Canadian bank, there are annual contribution limits, and contributions are tax-deductible.
- RRSPs can hold any type of investments—stocks, bonds, mutual funds, and ETFs, to name a few.
- You are allowed to contribute to an RRSP up to the year you turn 71 years old. You must then convert your RRSP into a Registered Retirement Income Fund (RRIF) by December 31 of the year you turn 71, which is when you are mandated to start taking money out of your RRIF, in accordance with the withdrawal schedule issued by the Canadian federal government. However, anyone can convert an RRSP into a RRIF as early as the year they turn 65.

### **The Tax-Free Savings Account (TFSA)**

- While the Tax-Free Savings Account (TFSA) is not technically a retirement account, it offers Canadian residents 18 years of age and older an opportunity to contribute \$6,000 annually to this tax-free savings account.